

Homework A2 | ECON 0100 | Fall 2026

Due: Sunday, Sep. 6

Homework is designed to both test your knowledge and challenge you to apply familiar concepts in new applications. Answer clearly and completely, and show your work so you can later understand your thought process. You are welcomed and encouraged to work in groups as long as your work is your own. Submit your answers on Gradescope when you're finished: each answer there is a selection, so keep your paper handy.

The Hogsmeade Candy Shop Saga

Honeydukes and Zonkos are two candy shops in Hogsmeade. Both shops make two types of popular candy, Chocolate Frogs (F) and Ice Mice (M). Devoting all their resources to one good, Honeydukes can make 100 pounds of F or 75 pounds of M each week, and Zonkos can make 200 pounds of F or 100 pounds of M .

Construct a production table and an opportunity cost table to keep track of your work as you move through the questions.

Q1 | Absolute Advantage

- a) Which shop has the absolute advantage in Chocolate Frogs?
- b) Which shop has the absolute advantage in Ice Mice?

Q2 | Opportunity Costs

In Homework A1 you found Honeydukes' opportunity cost of 1F. Fill in the rest of the opportunity cost table.

- a) What is Honeydukes' opportunity cost of 1M?

- b) What is Zonkos' opportunity cost of 1F?
- c) What is Zonkos' opportunity cost of 1M?

Q3 | Comparative Advantage

- a) Which shop has the comparative advantage in Chocolate Frogs?
- b) Which shop has the comparative advantage in Ice Mice?
- c) Zonkos has the absolute advantage in both goods. Explain why it can't have the comparative advantage in both.

Q4 | Changes in Labor and Technology

Gringotts decides to fund Zonkos' purchase of a more capable Ice Mice machine, doubling Zonkos' Ice Mice production. At the same time, Honeydukes triples their labor hours, tripling their productive capacity. Construct an updated production table and opportunity cost table before answering.

- a) After both changes, which shop has the absolute advantage in each good?
- b) After both changes, what is Honeydukes' opportunity cost of 1F? What is Zonkos'?
- c) After both changes, which shop has the comparative advantage in each good?